

INTERNAL AUDIT REPORT

Approval Controls Audit | Report No. AR-02333

Report ID:	AR-02333
Audit Type:	Approval Controls Audit
Report Date:	September 07, 2025
Audit Period:	2025-03-06 to 2025-08-25
Lead Auditor:	John Reynolds (EMP-RM943)
Reviewed By:	Gregory Parker (EMP-38106)
Primary Vendor Reference:	VoltEdge Solutions Inc (VND-01893)
Subject Employee Reference:	Heather Williams (EMP-9925)
Primary Transaction Reference:	TXN-C1234453970
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This approval controls audit covered the period 2025-03-06 to 2025-08-25 and examined transactions, approvals, and compliance records associated with vendor VoltEdge Solutions Inc (VND-01893) and employee Heather Williams (EMP-9925). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1234453970 (amount 91,501.81 INR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004230	LOW	VENDOR RISK	Payment issued to VND-VND-01757 rated LOW risk. Active contract CON-106903 in place. Enhanced due diligence not documented.

Finding ID	Severity	Category	Description
FND-002023	CRITICAL	FRAUD PATTERN	Transaction routed through 6 intermediate accounts before reaching final beneficiary. Unusual for CASH_OUT transaction type.
FND-004917	HIGH	VENDOR RISK	Vendor NexPoint Analytics Holdings holds CRITICAL risk rating. 4 payments totalling \$5,518 processed in the audit period.
FND-003568	HIGH	VENDOR RISK	Payment issued to VND-VND-04155 rated LOW risk. Active contract CON-107644 in place. Enhanced due diligence not documented.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000267	EXPENSE CLAIM	EVD-CRY-6182	0.77
EVI-000577	COMPLIANCE RECORD	EVD-XIO-5045	0.66
EVI-000582	DNS LOG	EVD-YSU-0098	0.99
EVI-001280	EXPENSE CLAIM	EVD-OEX-6641	0.51
EVI-001794	COMPLIANCE RECORD	EVD-WQC-4927	0.68
EVI-001838	COMPLIANCE RECORD	EVD-ALD-7676	0.50

5. RECOMMENDATIONS

- Introduce automated system validation to block approvals exceeding the approver's authorised limit.
- Require compliance certificate verification as a system gate prior to payment release.
- Restrict post-termination system access to prevent ghost-approver scenarios.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	John Reynolds	EMP-RM943	2025-09-07
Reviewing Officer	Gregory Parker	EMP-38106	2025-09-09